control or economic interdependence) between counterparties. NBFC should assess counterparties with a view to identifying the chain of contagion leading to possible default of all entities.

B.4 Values of exposures

41. An exposure to a counterparty shall constitute both on and off-balance sheet exposures which shall be calculated according to the method prescribed for capital computation in the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025; i.e., on-balance sheet exposures shall be reckoned at the outstanding amount (Netting is allowed only for assets where provisions for depreciation or for bad and doubtful debts have been made) while the off-balance sheet exposures shall be converted into credit risk equivalent by applying the credit conversion factor prescribed under capital requirements. The exposures shall be permitted to be offset with credit risk transfer instruments permitted in these Directions.

B.4.1 Exposures to Central Counterparties

42. The exposures to Central Counter Parties (CCPs), on account of derivatives trading and securities financing transactions outstanding against them shall be assigned zero exposure value. However, these exposures will be subject to the regulatory reporting requirements as specified in paragraph 48.

43. Amount of the collaterals with CCPs shall be reckoned for arriving at the exposure limit.

44. **Other exposures:** Other types of exposures such as equity stake, funding facilities, credit facilities, guarantees etc., shall be measured according to the rules set out in these Directions, as for any other type of counterparty. These exposures shall be added together and be subjected to the LE limit.

B.4.2 Breach

45. Any breach of Large Exposure limits shall be under exceptional conditions beyond the control of the NBFC, and it shall be reported to the RBI (DOS, CO) immediately and rapidly rectified.

46. The NBFC cannot undertake any further exposure (at the entity or group level, as the case may be) until it is brought down within the limit.

47. Failure to comply with the exposure limit may lead to imposition of penalties on the NBFC by the supervisor.

B.5 Regulatory reporting

48. An NBFC shall report its Large Exposures to the RBI (DOS, CO) as per the reporting template given in **Annex - I**. The LEF reporting shall cover the following:

(1) all exposures, meeting the definition of large exposure;

(2) all other exposures, measured as specified in paragraphs 41 to 44 of these Directions without offsetting exposure value with credit risk transfer instruments, where values stand equal to or above 10 per cent of the NBFC's eligible capital base;

(3) all the exempted exposures with values equal to or above 10 per cent of the NBFC's eligible capital base; and

(4) 10 largest exposures included in the scope of application, irrespective of the values of these exposures relative to the NBFC's eligible capital base.

C. Internal Exposure Limits

49. In addition to the internal limits on SSE as specified in paragraph 24 of these Directions, the Board of NBFC shall also determine internal exposure limits on other important sectors to which credit is extended. Further, the NBFC shall put in place an internal Board-approved limit for exposure to the NBFC sector.

Chapter V - Repeal and other provisions

A. Repeal and saving

50. With the issue of these Directions, the existing Directions, instructions, and guidelines relating to Concentration Risk Management as applicable to Non-Banking Financial Companies stand repealed, as communicated vide circular DOR.RRC.REC.302/33-01-010/2025-26 dated November 28, 2025. The Directions, instructions and guidelines repealed prior to the issuance of these Directions shall continue to remain repealed.

51. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these directions, instructions, or guidelines shall not in any way prejudicially affect:

(1) any right, obligation or liability acquired, accrued, or incurred thereunder;

(2) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder;

(3) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture or punishment may be imposed as if those directions, instructions, or guidelines had not been repealed.

B. Application of other laws not barred

52. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations or directions, for the time being in force.

C. Interpretations

53. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the RBI may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the RBI shall be final and binding.

(Vaibhav Chaturvedi)
Chief General Manager

Annex - I

Return on Large Exposures

Name of the NBFC	
Return for the Month	
Eligible Capital base (Tier 1)	**(₹. crore)**

A. NBFC's 10 Largest Exposures to counterparties (single as well as group of connected counterparties) irrespective of their values relative to NBFC's eligible capital base				
Sl No	**Name of the Counterparty**	**Whether Single (S) or Group (G) of connected Counterparties**	**Exposure Amount**	**Exposure as per cent of Tier 1 Capital**
1.				
2.				
3.				
--				
--				
18.				
19.				
20.				

B. NBFC's exposures with values equal to or above 10 per cent of Tier I Capital				
Sl No	**Name of the Counterparty**	**Whether Single (S) or Group (G) of connected Counterparties**	**Exposure Amount**	**Exposure as per cent of Tier 1 Capital**
1.				
2.				
--				
n				

C. NBFC's other exposures (measured without offsetting credit transfer instruments) with values equal to or above 10 per cent of Tier 1 capital (not including exposures reported in B already)				
Sl No.	**Name of the Counterparty**	**Whether Single (S) or Group (G) of connected Counterparties**	**Exposure Amount**	**Exposure as per cent of Tier 1 Capital**
1.				
2.				
--				
n.				

D. NBFC's exempted exposures with values equal to or above 10 per cent of Tier 1 Capital				
Sl No	**Name of the Counterparty**	**Whether Single (S) or Group (G) of connected Counterparties**	**Exposure Amount**	**Exposure as per cent of Tier 1 Capital**
1.				
2.				
--				
n.				